THE SESSION · POST-CLOSE READ

Two Markets, *One Tape*

Nvidia's beat-and-raise and a same-night software re-rating carried the index while the average stock finished lower. The Growth Portfolio returned +2.16% against IUSG at +1.47%; the Dividend Strategy returned −0.39% against DVY at −0.68%.

S&P 500 ▲ 0.71% NASDAQ ▲ 1.57% DOW ▲ 0.20% VIX 14.49 BRENT ▲ $89

DIVIDEND STRATEGY

▲ BEAT DVY · TRAILED SPY

−0.39% 1-DAY

FCI	−0.39%
DVY	−0.68%
SPY	+0.64%

YTD **+22.71%** vs DVY +17.91% · SPY +13.64%

GROWTH PORTFOLIO

▲ BEAT IUSG

+2.16% 1-DAY

FCI	+2.16%
IUSG	+1.47%

YTD **+26.48%** vs IUSG +14.81%

THE SESSION

The index closed higher and the average stock closed lower, and both statements describe the same session. Nvidia's fiscal second quarter, released after Wednesday's close, cleared consensus on revenue and earnings and guided the October quarter to roughly $108 billion — the above-consensus outcome the morning setup had identified as the operative variable. The shares closed +8.70% at $227.91. A second, separate catalyst arrived alongside it: Salesforce, CrowdStrike and Okta all reported after Wednesday's close, and the enterprise-software and security complexes repriced together. The S&P 500 added 0.71% to 7,730.11 and the Nasdaq Composite 1.57%, while the Dow managed 0.20% with 23 of its 30 constituents finishing lower.

That composition split the two sleeves cleanly. The Growth Portfolio returned +2.16% against IUSG at +1.47%, a 69-basis-point margin built almost entirely inside software, security and AI infrastructure — NOW +10.05%, FTNT +9.67%, NVDA +8.70%, CRDO +6.07%, MARA +5.79%, TSM +2.31%. The Dividend Strategy returned −0.39% against DVY at −0.68% and SPY at +0.64%: ahead of its income benchmark by 28 basis points, behind the cap-weighted index by 103. Health care, staples and industrials funded the rotation — SYK −2.29%, ABT −2.22%, PCAR −2.08%, GPC −1.99%, CL −1.18% — while the sleeve's semiconductor holdings held their footing with LRCX +1.82%, ADI +0.73% and QCOM +0.65%. The digital-asset ETFs advanced with the complex, IBIT +1.87% and ETHA +1.18%, as spot bitcoin funds extended a run of consecutive daily net inflows.

We do not need every sector working on the same day. We need the businesses to keep earning.

Two things are worth carrying into Friday. The first is that a tape carried by a small number of names is a statement about positioning, not about the durability of what we own; the Dividend Strategy's shortfall against SPY today is arithmetic, not deterioration, and it beat the benchmark that actually measures it. The second is that the session's real event has not happened yet. Chair Warsh delivers his first Jackson Hole keynote Friday morning, with the 10-year near 4.65%, the 30-year near 5.16%, and September rate-futures pricing carrying a meaningful hike-side tail. The VIX closed at 14.49, down 4.73% on the day — the options market is not pricing much from the podium. Brent settled near $88.59 as Hormuz diplomacy continued. Owning durable businesses through a narrow week is the point of owning them at all.

FCI HOLDINGS · NOTABLE MOVERS

WINNERS

NOW +10.05% GROWTH PORTFOLIO
Enterprise-software re-rating. Salesforce's quarterly beat and raised outlook reset sentiment across the workflow complex; ServiceNow drew a direct read-through.

FTNT +9.67% GROWTH PORTFOLIO
Security read-through. CrowdStrike and Okta both beat after Wednesday's close; the platform names moved with the group. No Fortinet release on the day.

NVDA +8.70% GROWTH PORTFOLIO
Fiscal Q2 revenue near $96.2B and an October-quarter guide of roughly $108B, both above the sell-side range the morning setup had identified.

CRDO +6.07% GROWTH PORTFOLIO
Moved with the AI-interconnect complex on the Nvidia guide. No company-specific release; the move is complex-level rather than single-name.

LRCX +1.82% DIVIDEND STRATEGY
Semiconductor-equipment participation in the same capital-spending read that lifted the logic and networking names.

DECLINERS

SYK −2.29% DIVIDEND STRATEGY
Health care traded lower across the group as the session's buying concentrated in technology. No Stryker-specific development on the day.

ABT −2.22% DIVIDEND STRATEGY
Same sector rotation. Abbott gave back ground alongside the broader medical-products complex.

PCAR −2.08% DIVIDEND STRATEGY
Industrials returned a portion of Wednesday's advance as the transport and machinery group cooled.

TOL −2.07% GROWTH PORTFOLIO
Rate-sensitive housing eased with the 30-year fixed mortgage near 6.66% and long-end yields holding ahead of Friday's keynote.

HOLDINGS NEWS

Nvidia — fiscal Q2 and the October guide. Revenue of approximately $96.2 billion, up roughly 106% year over year, with about $89.0 billion of that from the Data Center segment, and adjusted earnings above the consensus range. Management guided fiscal Q3 revenue to approximately $108 billion against sell-side consensus near $105 billion, and framed the guide as assuming no data-center compute revenue from China. For a Growth Portfolio position of this weight, the relevant detail is not the beat but the composition of the guide: it carries no contribution from a market that remains closed.

Fortinet — a move without a filing. Fortinet issued no financial release on the day. The advance came from CrowdStrike and Okta, which both reported after Wednesday's close, with CrowdStrike raising its full-year net new annual recurring revenue growth outlook. The cybersecurity group traded up together on the read-through. We treat sympathy moves of this size as sentiment rather than information, and hold the position on its own operating record.

YEAR-TO-DATE STANDING

DIVIDEND STRATEGY

+22.71%

vs DVY +17.91% / SPY +13.64%

GROWTH PORTFOLIO

+26.48%

vs IUSG +14.81%